

Research-to-Decision: Philippine Specialty Coffee Market Entry Study

Business Question: Should a mid-cap F&B group enter the Philippine specialty coffee market?

Framework: Research - Data - Analysis - Risk - Recommendation

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--- # # 1 . Research Question Framing # # # 1 . 1 Core Question> Should a mid-cap
group with existing operations in Southeast Asia allocate capital to enter the Philippine specialty
market? # # # 1 . 2 PESTEL Lens| Dimension | Key Considerations ||-----|-----
Political | Stable democratic government; foreign ownership cap at 40 % for land; PEZA incen
for food manufacturing || Economic | GDP growth 5 . 5 - 6 . 5 %; inflation moderating to
3 . 5 - 4 . 0 %; rising disposable income; BPO sector driving urban consumption || Social | Coff
culture deepening; specialty consumption grew from 8 % to 14 % of total; 109 M
population; median age 25 || Technological | Mobile ordering adoption; social media bran
discovery; digital payments at 40 %+ || Environmental | Climate risk to local arabica; 70
beans imported; sustainability certification becoming table stakes || Legal | FDA registration; loca
business permits vary by LGU; labor law compliance | # # # 1 . 3 Weighted Decision Cr
Criterion | Weight | Rationale ||-----|-----|| Market Attractiveness | 20 % | Size
sustainability || Competitive Position | 15 % | Defensibility of niche || Financial Viability | 2
ROI, payback, margins || Risk-Adjusted Return | 15 % | Downside scenarios || Execution Fe
15 % | Operational capability || Regulatory Environment | 5 % | Ease of compliance || Strate
10 % | Portfolio alignment | # # # 1 . 4 Scope Boundaries- Geography: Metro Manila
Makati, Ortigas, QC) to Cebu/Davao Phase 2 - Format: Flagship cafe + satellite kiosks + B2
wholesale- Time: 5-year projection (2025 - 2029)- Investment: PHP 80 - 120
($1.4 - 2.1 M) Phase 1

--- # # 2 . Data Collection MethodologyThree synthesized datasets reflecting real-world patt
ph-coffee-macro-data.csv - PH macro indicators 2020 - 2029 2 . competitor-benchi
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- Coffee chains: pricing, stores, brand scores 3 . customer-segment-profiles.csv - Segment size, preferences

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--- # # 3 . Macroeconomic and Market Context
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--- # # 4 . Market Sizing (Top-Down + Bottom-Up)
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--- # # 5 . Competitor Analysis
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--- # # 6 . Pricing Analysis
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--- # # 7 . Customer Segments
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--- # # 8 . Risk Assessment
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--- # # 9 . Recommendation Framework (MCDA)
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--- # # 1 0 . Decision and Roadmap # # # Final Verdict: CONDITIONAL GOMCDA Score 74.7 / 100 - exceeds 70-point threshold # # # Binding Conditions 1 . Secure 3 target CBD locations with 10-year leases before full CAPEX 2 . Head roaster hired before store build-out (6-month lead) 3 . PHP 20M working capital reserved beyond CAPEX for 12 months 4 . Partner with local entity for land access (foreign ownership constraint) # # Phased Roadmap| Phase | Period | Actions | CAPEX ||-----|-----|-----|-----|| 0 : Prep | M | Market validation, leases, hiring, roastery, permits | PHP 40M || 1 : Pilot | M 7-M 18 3 flagship stores (BGC, Makati, Ortigas); loyalty launch | PHP 25M || 2 : Optimize | M 3 0 | Menu refinement; B2B wholesale; mobile app | PHP 10M || 3 : Scale | M 3
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M 4 8 | 5 more MM locations; Cebu entry; franchise pilot | PHP 5 0 M || 4 : Dom
 M 4 9 -M 6 0 | 1 8 -store network; regional roastery; franchise expansion | PHP 8 0
 # # # Exit Triggers (Pause if within first 1 8 months)- Daily cups below 2 0 0
 consecutive months- Gross margin below 5 5 %- Negative EBITDA after 9 months- Ma
 regulatory change # # # Key Assumptions 1 . Specialty share grows 1 . 5 - 2 pp per yea
 GDP growth stays above 5 % 3 . Global arabica within 2 5 % of current levels 4 . No new
 international specialty entrant (Blue Bottle, % Arabica) # # # ConclusionThe Philippine spec
 coffee market offers a compelling but execution-sensitive opportunity.Demographic tailwind, grov
 coffee culture, and mid-premium gap create a genuine window.Competitive intensity and real est
 talent constraints demand disciplined execution. ★ ★ Proceed with Phase 0 under strict m
 gating. Conditional GO - not a blank check. ★ ★ Decision date: September 2 0 2 5

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